

because, as we learned the hard way at IMVU, the very actions that made us successful with early adopters were diametrically opposed to the actions we'd have to master to be successful with mainstream customers. We lacked a clear understanding of how our engine of growth operated. We had begun to trust our vanity metrics. We had stopped using learning milestones to hold ourselves accountable. Instead, it was much more convenient to focus on the ever-larger gross metrics that were so exciting: breaking new records in signing up paying customers and active users, monitoring our customer retention rate—you name it. Under the surface, it should have been clear that our efforts at tuning the engine were reaching diminishing returns, the classic sign of the need to pivot.

For example, we spent months trying to improve the product's activation rate (the rate at which new customers become active consumers of the product), which remained stubbornly low. We did countless experiments: usability improvements, new persuasion techniques, incentive programs, customer quests, and other game-like features. Individually, many of these new features and new marketing tools were successful. We measured them rigorously, using A/B experimentation. But taken in aggregate, over the course of many months, we were seeing negligible changes in the overall drivers of our engine of growth. Even our activation rate, which had been the center of our focus, edged up only a few percentage points.

We ignored the signs because the company was still growing, delivering month after month of “up and to the right” results. But we were quickly exhausting our early adopter market. It was getting harder and harder to find customers we could acquire at the prices we were accustomed to paying. As we drove our marketing team to find more customers, they were forced to reach out more to mainstream customers, but mainstream customers are less forgiving of an early product. The activation and monetization rates of new customers started to go down, driving up the cost of acquiring new customers. Pretty soon, our growth was flatlining and our engine sputtered and stalled.

It took us far too long to make the changes necessary to fix this